

**Time:** 5 minutes**Outcome:** Calculate Income Elasticity of Demand.**Difficulty:** ●●○ Intermediate

Income Elasticity of Demand



THE CORE IDEA

Income elasticity of demand measures how demand changes when consumer income changes. Income elasticity helps firms anticipate demand shifts as consumer income changes. Different income responses shift the composition of demand as purchasing power changes. Normal goods have positive income elasticity because demand moves with income. A small percentage demand response relative to income means an income elasticity near zero.



HOW TO RECOGNIZE IT

- Demand for restaurant meals rises when consumer income rises.
- A small percentage demand response relative to income means an income elasticity near zero.
- Household income rises and demand for bus rides falls.
- A retailer estimates income elasticity for its store brand at -0.6.
- Demand for a normal good rises as income rises.



WATCH OUT

A common mistake is to misread the sign of income elasticity. A positive coefficient identifies a normal good; a negative coefficient identifies an inferior good.



WORKED EXAMPLE: CALCULATING INCOME ELASTICITY

Household income rises by 10%, and demand for restaurant meals rises by 15%. Income elasticity is $15\% / 10\% = 1.5$. The positive sign identifies restaurant meals as a normal good, and the coefficient above 1 indicates that demand responds more than proportionally to income in this example.



CHECK YOURSELF

Income changes by 5 percent and demand for premium gym memberships changes by 8 percent. What is income elasticity of demand?

**READY?**

Return to the game and master this concept.